

**Superior Court of the State of California
County of Orange**

DEPT C20 TENTATIVE RULINGS

Judge Theodore Howard

The court will hear oral argument on all matters at the time noticed for the hearing. If you would prefer to submit the matter on your papers without oral argument, please advise the clerk by calling (657) 622-5220. If no appearance is made by either party, the tentative ruling will be the final ruling. Rulings are normally posted on the Internet by 4:00 p.m. on the day before the hearing.

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The Orange County Superior Court has implemented administrative orders, policies, and procedures noted on the Court's website to address the limitations and restrictions presented during the COVID-19 pandemic at Civil Covid-19. Due to the fluid nature of this crisis, you are encouraged to frequently check the Court's website at <https://www.occourts.org> for the most up to date information relating to Civil Operations.

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Date: May 28, 2026

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1.	Schear v. City of Huntington Beach 241425004	(Withdrawn)
2.	Li v. Li 25-1517999	Cross-complainants StarRide Auto Services, LLC, Xian Li, and Jiaze Peng ("CC" together) Motion to Request Plaintiff Furnish a Security ("Motion") is DENIED without prejudice.

		There are numerous service issues related to the various pleadings which require CC to 'start over' the motion process and ensure proper service. The Motion was improperly email served on pro per plaintiff Jun Li ("Plaintiff"). (ROA 10.) Unrepresented persons are exempt from mandatory electronic filing (<i>Civ. Proc. Code § 1010.6(g)(4)</i> and <i>CRC Rule 2.253(b)(2)</i>) and there is no evidence in the court's records that Plaintiff consented to receive electronic service of pleadings. CC also filed a late supplemental declaration after Plaintiff filed an opposition to the Motion, which would not permit Plaintiff to consider the statements and evidence therein when preparing the opposition. (ROA 21.) The supplemental declaration was also improperly served by email. As for Plaintiff's pleadings, Plaintiff filed an opposition and then a supplemental declaration three days later. (ROA 19, 22.) Plaintiff failed to file a proof of service for either pleading. As CC did not file a reply brief, it is not clear if this was a conscious choice by CC or if the opposing pleadings were never served on CC. As there are issues with improperly served and late filed pleadings, the court cannot consider the Motion on the merits as it is unclear what, if any, pleadings were served/received by the parties. The Motion is therefore DENIED without prejudice. If CC desire to have the Motion heard on the merits, they will have to start the process over and file a new motion and properly serve Plaintiff. Plaintiff is also notified that he must file proofs of service pursuant to code requirements showing service of pleadings on CC. If Plaintiff does not serve proofs of service in the future, he risks the court refusing to consider said pleadings. <i>Counsel for CC is ordered to serve notice of the ruling.</i>
3.	Gooding v. Hout 22-1271459	(Moot)
4.	Keno Capital, LLC v. Oakleaf Holding LLC 23-1313683	(Moot)
5.	Mott v. Fortiva Financial, LLC 25-1476893	(Moot)
6.	Fernandez v. Pacific Life Insurance Company 25-1520544	Before the Court is a demurrer by defendant Pacific Life Insurance Company (Pacific Life) as to the complaint filed by plaintiffs Janeth Fernandez, Eriberto Fernandez and Luis Alberto Medina Larios. For the reasons set forth herein, the demurrer is OVERRULED as to the 1st, 4th and 5th causes of action and SUSTAINED as to the 2nd and 3rd causes of action, with 14 days leave to amend. A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (See <i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the

factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-1405.) Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.)

1st Cause of Action – Fraudulent Concealment

The elements of concealment are: (i) Defendant must have concealed or suppressed a material fact; (ii) Defendant must have been under a duty to disclose the fact; (iii) Defendant must have intentionally concealed or suppressed the fact with the intent to defraud Plaintiff; (iv) Plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (v) Plaintiff must have suffered resulting damage. (*Roddenberry v. Roddenberry* (1996) 44 Cal.App.4th 634.)

Pacific Life argues there were no material facts it was required to disclose. *Ins. Code* §332 requires the insurer to share with the insured "all facts within his knowledge which are or which he believes to be material to the contract." Plaintiff alleges Pacific Life "created an illustration for Plaintiff's policy dated April 17, 2023, which reflected an unsuitable product for Plaintiff, that had features contrary to Plaintiff's instructions, including increasing cost of insurance charges over time, high fees, and significant surrender charge." (Complaint ¶18) Plaintiff alleges this information was material and should have been, but was not, provided prior to sale of the policy. (*Ibid*; see also ¶¶26, 34) Pacific Life appears to argue it did not possess the information in the illustration and that such was only known to the insurance agent. However, that is not what is pled. For purposes of demurrer, the duty to disclose is sufficiently pled. The Court also finds the remaining elements sufficiently pled.

Accordingly, the demurrer is **OVERRULED** as to the 1st cause of action for Fraudulent Concealment.

2nd Cause of Action - Breach of Fiduciary Duty

Pacific Life initially argues a two year statute of limitations applies. The Court disagrees. Because the gravamen of plaintiffs' claim is for fraud, a three year limitations period applies. (*Fuller v. First Franklin Financial Corp.* (2013) 216 Cal.App.4th 955, 963 -"The limitations period is three years for a cause of action for deceit (Citation), as it is for a cause of action for breach of fiduciary duty where the gravamen of the claim is deceit.")

Pacific Life next argues that a claim for breach of fiduciary duty by an insured does not lie against an insurer. This argument has merit.

"The insurer-insured relationship ... is not a true 'fiduciary relationship' in the same sense as the relationship between trustee and beneficiary, or attorney and client. [Citation]. It is, rather, a relationship often characterized by unequal bargaining power [citation], in which the

insured must depend on the good faith and performance of the insurer [citations]. This characteristic has led the courts to impose 'special and heightened' duties, but '[w]hile these "special" duties are akin to, and often resemble, duties which are also owed by fiduciaries, the fiduciary-like duties arise because of the unique nature of the insurance contract, not because the insurer is a fiduciary.' [Citation]." (*Vu v. Prudential Prop. & Cas. Ins. Co.* (2001) 26 Cal.4th 1142, 1150-1151.)

Accordingly, the demurrer is **SUSTAINED** as to the 2nd cause of action for Breach of Fiduciary Duty.

3rd Cause of Action – Negligence

Pacific Life argues the negligence cause of action is barred by the two year statute of limitations.

In opposition, plaintiffs argue Pacific Life's conduct was such that it should be equitably estopped from asserting the statute of limitations defense.

" 'An estoppel may arise although there was no designed fraud on the part of the person sought to be estopped. [Citation.] To create an equitable estoppel, 'it is enough if the party has been induced to refrain from using such means or taking such action as lay in his power, by which he might have retrieved his position and saved himself from loss.' ... '...Where the delay in commencing action is induced by the conduct of the defendant it cannot be availed of by him as a defense.' " (*Vu v. Prudential Prop. & Cas. Ins. Co.* (2001) 26 Cal. 4th 1142, 1152-53)

"To establish estoppel as an element of a suit the elements of estoppel must be especially pleaded in the complaint with sufficient accuracy to disclose facts relied upon." (*Chalmers v. County of L.A.* (1985) 175 Cal.App.3d 461, 467.) "In order to assert equitable estoppel, the following four elements must be present: (1) the party to estopped must be apprised of the facts; (2) he must intend that his conduct be acted on, or must so act that the party asserting estoppel had a right to believe it was so intended; (3) the party asserting estoppel must be ignorant of the true state of facts; and (4) he must rely upon the conduct to his injury." (*Sofranek v. County of Merced* (2007) 146 Cal.App.4th 1238, 1250.) "Whether equitable estoppel applies is normally a question of fact. [Citation.] However, where the complaint pleads undisputed facts establishing that equitable estoppel does not apply, the issue may be resolved on demurrer." (*Id.* at p. 1251.) Alternatively stated, when "the facts are undisputed, the existence of an estoppel is a question of law." (*Cal. Cigarette Concessions v. City of L.A.* (1960) 53 Cal.2d 865.)

Plaintiffs allege in conclusory fashion that their discovery of the negligence was delayed. (Complaint ¶¶21, 29 & 36) However, there are insufficient facts pled. For example Janeth Fernandez alleges the April 17, 2023 illustration "reflected an unsuitable product for plaintiff."

		(Complaint ¶18) She then alleges the April 17, 2023 illustration was among the documents she e-signed on 5/17/23. (Complaint ¶20) Accordingly, the demurrer is SUSTAINED as to the 3rd cause of action for Negligence. 4th Cause of Action - Rescission AND 5th Cause of Action - Unfair Competition Defendant argues that both the 4th and 5th causes of action are barred because the fraudulent concealment cause of action fails. In light of the foregoing finding that fraudulent concealment is sufficiently pled, Pacific Life's demurrer to the 4th and 5th causes of action is OVERRULED. The Demurrer is sustained with 14 days leave to amend. However, leave to amend is granted only as to the specific causes of action to which the Demurrer was sustained. Leave to amend is NOT granted to alter/amend other portions of the complaint or to add/amend other causes of action. If plaintiffs seeks leave to amend, such must be done pursuant to <i>CCP §473</i> and the appropriate rules. <i>Pacific Life Insurance Company shall give notice.</i>
7.	Mito's Holdings, Inc. v Deniz Restaurants, LLC25-1534622	(Continued)
8.	Black v. Lutfi 25-1528410	Before the Court are two motions filed by Erick Black (Plaintiff). The first is a Demurrer to the Cross-Complaint (XC) filed by Mohammad Lutfi (Lutfi). The second is a Motion for Judgment on the Pleadings as to the First Amended Complaint (FAC) filed by Plaintiff against Lutfi. For the reasons set forth herein, the Demurrer is OVERRULED and the Motion for Judgment on the Pleadings is DENIED. DEMURRER TO CROSS-COMPLAINT The role of a demurrer is "to test the legal sufficiency of a complaint." (<i>Donabedian v. Mercury Ins. Co.</i> (2004) 116 Cal.App.4th 968, 994, citations omitted.) A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (See <i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-1405.) On demurrer, a complaint must be liberally construed. (<i>Code of Civil Procedure § 452; Stevens v. Superior Court</i> (1999) 75 Cal.App.4th 594, 601.) All material facts properly pleaded, and reasonable inferences drawn from them, must be accepted as true. (<i>Aubry v. Tri-City Hospital Dist.</i> (1992) 2 Cal.4th 962, 966-67.) 1. 1st Cause of Action – Declaratory Relief

"The interpretation of a contract is clearly a proper subject of declaratory relief. *Section 1060* provides '[a]ny person interested ... under a contract ... may ... bring an original action ... in the superior court ... for a ... determination of any question of construction or validity arising under the ... contract.' The fact the same issue of contract interpretation is also raised in other causes of action does not in itself bar declaratory relief or summary adjudication of that cause of action." (*S. Cal. Edison Co. v. Superior Ct.* (1995) 37 Cal. App. 4th 839, 846-47)

Here, Lutfi seeks a determination as to whether Black is a valid winner of the sweepstakes. The Court finds this cause of action is sufficiently pled. Accordingly, the demurrer is **OVERRULED** as to the 1st cause of action.

2. 2nd Cause of Action – Breach of Contract

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

The XC alleges "the Official Rules constitute a valid and binding contract." (XC ¶88) A copy is attached as Exhibit A to the XC. Lutfi argues Black breached the contract by "Failing to cooperate and fulfill all the requirements of the Official Rules, including providing validation documents to Cross-Complainant's good faith satisfaction." (XC ¶89(12).) Whether or not Plaintiff's conduct breached the contract is a question of fact and not proper for demurrer.

Accordingly, the demurrer to the 2nd cause of action is **OVERRULED**.

3. 3rd Cause of Action – Fraud

The elements of fraud are: "(a) [a] misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638)

Here, Lutfi alleges "Cross-Defendant presented himself at the winner ceremony at TUNER CULT's location in Irvine, California, representing that his name was "Erick Gonzalez" and presenting an Arizona driver's license bearing the name "GONZALEZ, ERICK ALFONSO" and proof of insurance listing 'Erick Gonzalez' as the named insured. (Ex. B at 1-2.)" (XC ¶93) Lutfi alleges these statements and documents were false because Plaintiff's legal name had been changed to Erick Black. (XC ¶94) Lutfi relied on these representations by releasing the \$100,000 vehicle to Plaintiff. (XC ¶98)

The cause of action is sufficiently pled. Plaintiff's arguments that the XC lacks merit are not proper for demurrer. Questions of fact cannot

be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.)

Accordingly, the demurrer to the 3rd cause of action for Fraud is **OVERRULED**.

4. *4th Cause of Action – Unjust Enrichment*

“Unjust enrichment is not a cause of action . . . or even a remedy, but rather a general principle, underlying various legal doctrines and remedies. . . . It is synonymous with restitution. [Citations.] Unjust enrichment has also been characterized as describing the result of a failure to make restitution” (*McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387, citations and quotations omitted).

Although there is no cause of action for unjust enrichment, in ruling on a demurrer, courts ignore erroneous or confusing labels and look to the gravamen of the complaint to determine if a cause of action is stated. (*McBride, supra*, at 385, 387-388.) A court may construe an unjust enrichment claim as one for restitution. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 231; see also *McBride*, 123 Cal.App.4th at 387-88.)

Here, the Court construes Lutfi’s 4th cause of action as being one for restitution. As a result, it is sufficiently pled.

Plaintiff also argues a claim for restitution cannot be pled where a breach of contract cause of action is pled. However, “A claim for restitution is permitted even if the party inconsistently pleads a breach of contract claim that alleges the existence of an enforceable agreement. (*Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1389, 137 Cal.Rptr.3d 293.)” (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221, 231)

Accordingly, the demurrer to the 4th cause of action for Unjust Enrichment is **OVERRULED**.

MOTION FOR JUDGMENT ON THE PLEADINGS AS TO FAC

In this motion, Plaintiff seeks to have a judgment entered on his FAC based on his assertion the FAC has stated a basis for the causes of action and that Lutfi’s answer has failed to raise a valid affirmative defense.

Judgment on the pleadings in favor of a plaintiff is appropriate when the complaint states facts sufficient to constitute a cause of action and the defendants’ answer does not state facts sufficient to constitute a defense. (*Code of Civil Procedure Section (c)(1)(A)*.) “Where a plaintiff brings such a motion, the Court assumes the defendant could have proven all of the factual allegations in its answer. (*Westly v. Board of Administration* (2003) 105 Cal.App.4th 1095, 1115.) Like demurrers, motions for judgment on the pleadings challenge the legal

		sufficiency of the allegations, not their veracity. (<i>Donabedian v. Mercury Ins. Co.</i> (2004) 116 Cal.App.4th 968, 994.) Here, Plaintiff seeks Judgment as to his entire FAC. "A motion for judgment on the pleadings is analogous to a general demurrer." (<i>Westly v. Board of Administration</i> (2003) 105 Cal.App.4th 1095, 1114) "The issue is whether the [pleading] raises an issue that can be resolved as a matter of law." (<i>Ibid.</i>) "A demurrer which attacks an entire pleading should be overruled if one of the counts therein is not vulnerable to the objection." (<i>Bacon v. Wahrhaftig</i> (1950) 97 Cal. App. 2d 599, 605) In Plaintiff's first cause of action, he asserts a claim for Breach of Contract. In Lutfi's first affirmative defense, he asserts the defense of Prevention of Performance. "Prevention of performance by one party to a contract excuses performance by the other party." (<i>Hale v. Sharp Healthcare</i> (2010) 183 Cal.App.4th 1373, 1387) Lutfi alleges "Plaintiff prevented Defendants' performance by providing false banking information, certifying that false information was accurate, and refusing to provide the validation documents necessary to complete a lawful transfer." (1st Aff Defense in Answer to FAC) For purposes of demurrer, the Court assumes these facts will be proven. Therefore, Lutfi has sufficiently pled an affirmative defense to the first cause of action. Plaintiff's argument that the defense lacks merit because "there was and is nothing standing between the Turner Cult and/or American Sweepstakes from paying the prize money" (Motion at 8:27-28) is a question of fact for trial. Accordingly, as a defense to the first cause of action has been sufficiently pled, the Motion for Judgment on the Pleadings is DENIED. <i>Plaintiff is ORDERED to file his answer to the XC within 14 days.</i> <i>Lutfi is ORDERED to give notice of this ruling.</i>
9.	Laguna Beach Unified School District v. National Church Residences of Laguna Beach 25-1518292	Before the Court are the following motions attacking the Second Amended Complaint (SAC) of plaintiff Laguna Beach Unified School District (the "District") : 1) a motion for judgment on the pleadings filed by defendant National Church Residences of Laguna Beach (the "Church"); 2) a motion for judgment on the pleadings filed by defendant National Church Residences ("NCR"); and 3) demurrer filed by defendants Red Mortgage Capital, LLC; Orix Real Estate Capital, LLC and Lument Real Estate Capital, LLC (the "Lenders"). For the reasons set forth below the Church's motion is GRANTED without leave to amend as to the 4th, 5th and 6th causes of action but is otherwise DENIED; NCR's motion is GRANTED without leave to amend as to the 4th and 5th causes of action but is otherwise DENIED, and the Lenders' demurrer is SUSTAINED without leave to amend as to the 4th, 5th and 6th causes of action but is otherwise OVERRULED.

Motion for Judgment on the Pleadings by the Church

The District's evidentiary objections are **SUSTAINED**. The District's request for judicial notice is **DENIED** as irrelevant.

Entire Complaint: Contrary to the Church's contentions, the District adequately alleges the Church breached the terms of the Option and First Amendment. (SAC ¶¶ 79-82.) While the Church argues that the financing cap of \$5.675 million and related terms are transaction-specific to the 2012 Loan and nothing in the agreements prohibits the Church from refinancing, the Church relies on its own contractual interpretation in making such argument. Disputes relating to the parties' contractual intent, particularly where extrinsic evidence may be required to explain the meaning of a written instrument, are not appropriate for determination at the pleading stage. (*Foster-Gardner, Inc. v. National Union Fire Ins. Co.* (1998) 18 Cal.4th 857, 878 [where two or more interpretations of a contract provision are reasonable, the court looks at the ordinary meaning of the words of the contract, the circumstances under which it was made and the intent of the parties]; *Founding Members of Newport Beach County Club v. Newport Beach Country Club, Inc.* (2003) 109 Cal.App.4th 944, 955-956 [extrinsic evidence is admissible to explain the meaning of a written instrument].)

The Church's arguments related to anticipatory breach and implied terms in a contract are irrelevant, as the District does not allege these theories in the SAC but rather alleges current breaches of existing terms.

The Court also rejects the Church's ripeness argument. "A controversy is 'ripe' when it has reached, but has not passed, the point that the facts have sufficiently **concealed** to permit an intelligent and useful decision to be made." (*California Water & Tel. Co. v. Los Angeles County* (1967) 253 Cal.App.2d 16, 22.) Here, the District alleges injury because the Church replaced the \$5.675 million financing structure with a \$17.6 million encumbrance, stripping away the District's notice protections and accelerated repurchase rights under the Option and First Amendment, thereby impairing the District's recorded interests. (SAC ¶¶ 54, 55, 59, 63.) The District does not seek advisory guidance as to what the Church may do in the future, but challenges what the Church has already done. The District alleges a present and concrete controversy, ripe for review. The motion is therefore **DENIED** on these grounds.

Contract claims and declaratory relief (1st, 2nd, 3rd, 14th and 15th causes of action): The Church's arguments as to these claims are no different than the ones made on the entire complaint, which fail for the reasons set forth above. Furthermore, the Church improperly argues facts outside the four corners of the pleading that cannot be considered. The motion is therefore **DENIED** as to these causes of action.

Title claims (4th, 5th and 6th causes of action): The District lacks standing to assert the causes of action for quiet title, cancellation of written instruments and slander of title because the District fails to allege title to, or a real property interest, in the subject property. [*Chao Fu, Inc. v. Chen* (2012) 206 Cal.App.4th 48, 59 ["absent an interest in the property, a party has no standing to ask the court to quiet title in the property or to obtain damages for the cloud on title"]; *Deutsche Bank National Trust Co. v. Pyle* (2017) 13 Cal.App.5th 513, 523 [claim for cancellation of instrument based on the same facts as quiet title is essentially one claim]; *Truck Ins. Exchange v. Bennett* (1997) 53 Cal.App.4th 75, 84, fn. 3 ["An action for slander of title is maintainable only by one who possess an estate or interest in the property".]) An option to purchase conveys no interest in land, but only a contractual right in the optionee to buy at the optionee's election. (*Wachovia Bank v. Lifetime Indus., Inc.* (2006) 145 Cal.App.4th 1039, 1049-1050.) The motion is therefore **GRANTED** without leave to amend as to these causes of action.

Fraud claims (7th and 9th causes of action): The SAC alleges sufficient facts to support each element of the fraudulent concealment claim, including damages and a duty to disclose arising from exclusive knowledge, active concealment and a preexisting contractual relationship. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 [elements]; *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336 [duty to disclose]; SAC ¶¶ 115-119.) The SAC also alleges sufficient facts supporting civil conspiracy to fraudulent concealment. (*Doctors' Co. v. Superior Court* (1989) 49 Cal. 3d 39, 44 [elements]; SAC ¶ 132.) The motion is therefore **DENIED** as to these causes of action.

Equitable claims (8th, 10th, 11th, 12th causes of action). The SAC alleges sufficient facts to state a cause of action for unjust enrichment, accounting, constructive trust and injunctive relief. (*Peterson v. Cellico Partnership* (2008) 164 Cal.App.4th 1583, 1593 [elements of unjust enrichment]; *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179 [accounting]; *Civ. Code* § 2224 [constructive trust]; *Salazar v. Matejcek* (2016) 245 Cal.App.4th 634, 647 [injunctive relief]; SAC ¶¶ 123-130 [unjust enrichment]; ¶¶ 136-142 [accounting; ¶¶ 146-147 [constructive trust]; ¶¶ 150-152 [injunctive relief].) The motion is therefore **DENIED** as to these causes of action.

Motion for Judgment on the Pleadings filed by defendant National Church Residences ("NCR")

The District's request for judicial notice is **GRANTED** as to Exhibits 1, 2 and **DENIED** as to Exhibits 3, 4.

Liability of NCR: The SAC adequately alleges the ultimate facts showing independent liability of NCR, apart from its status as parent corporation of the Church. The District's allegations based on information and belief are proper. (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 [only ultimate facts need be alleged; facts may be alleged on information and belief]; SAC ¶¶ 3, 39, 42, Exs. 9, 10.) The motion is **DENIED** on these grounds.

Incorporation of arguments made by the Church: District fails to cite to any authority prohibiting incorporation by reference of the Church's arguments. The District is correct, however, that the SAC alleges an independent basis of liability against NCR and are not wholly derivative of the claims against the Church – thus the Church's arguments may or may not apply particularly as to specific causes of action. The only causes of action for which the Church's arguments are universally applicable are the ones where the District lacks standing, including quiet title and cancellation of instruments, which claims are also alleged against NCR. These claims fail for the same reasons set forth above. The motion is therefore **GRANTED** without leave to amend as to the 4th and 5th causes of action.

Necessary and Indispensable Party: While grounds for a demurrer include "a defect or misjoinder of parties," no such grounds exist for a motion for judgment on the pleadings. (Compare *Code of Civ. Proc.* § 430.10 and § 438.) Rather, the only grounds for a motion for judgment on the pleadings are 1) the court has no jurisdiction of the subject of the cause of action alleged in the complaint and 2) the complaint does not state facts sufficient to constitute a cause of action against that defendant. (*Code of Civ. Proc.* § 438, subd. (c)(3)(B)(ii).) NCR fails to cite to any authority that *Code of Civil Procedure* section 389 or misjoinder of a party is grounds for dismissal. The motion is **DENIED** on these grounds.

Demurrer by the Lenders

Entire Complaint: Contrary to the Lenders' contention, the District adequately alleges cognizable harm, i.e., the \$5.675 mil. financing structure was replaced with a \$17.6 million encumbrance, stripping away the District's notice protections and accelerated repurchase rights under the Option and First Amendment, thereby impairing the District's recorded interests. (SAC ¶¶ 54, 55, 59, 63.) The District does not seek advisory guidance as to what the parties may do in the future, but challenges what has already been done. The District alleges a present and concrete controversy, ripe for review. (*California Water & Tel. Co. v. Los Angeles County* (1967) 253 Cal.App.2d 16, 22 ["A controversy is 'ripe' when it has reached, but has not passed, the point that the facts have sufficiently concealed to permit an intelligent and useful decision to be made"].)

Furthermore, the District sufficiently pleaded around the statute of limitations defense. The SAC alleges the defendants are estopped from asserting the limitations defendants because they fraudulently concealed the 2021 Loan transaction by bypassing the notice protections governing the 2012 Loan transaction, and the District did not discover the 2021 Loan until January 8, 2024. (*Fox v. Ethicon Endo-Surgery* (2005) 35 Cal.4th 797, 807 [discovery rule]; *Sagehorn v. Engle* (2006) 141 Cal.App.4th 452, 460-461, fn. 6 [equitable tolling and equitable estoppel based on fraud]; SAC ¶¶ 43, 45, 47-48, 51.) The demurrer is therefore **OVERRULED** on these grounds.

		<u>Title claims</u> (4th, 5th, 6th causes of action): The District lacks standing to assert these claims because it fails to allege title to, or a real property interest, in the subject property. [<i>Chao Fu, Inc. v. Chen</i> (2012) 206 Cal.App.4th 48, 59; <i>Deutsche Bank National Trust Co. v. Pyle</i> (2017) 13 Cal.App.5th 513, 523; <i>Truck Ins. Exchange v. Bennett</i> (1997) 53 Cal.App.4th 75, 84, fn. 3.) An option to purchase conveys no interest in land, but only a contractual right in the optionee to buy at the optionee's election. (<i>Wachovia Bank v. Lifetime Indus., Inc.</i> (2006) 145 Cal.App.4th 1039, 1049-1050.) The demurrer is therefore SUSTAINED without leave to amend as these causes of action. <u>Fraud claims</u> (7th and 9th causes of action): The SAC alleges sufficient facts to support each element of the fraudulent concealment claim, including a duty to disclose arising from exclusive knowledge, active concealment and a preexisting relationship. (<i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 40 [elements]; <i>LiMandri v. Judkins</i> (1997) 52 Cal.App.4th 326, 336 [duty to disclose]; SAC ¶¶ 23, 24, 115-119, Ex. 5; see also ¶ 7 [the Lenders are the same legal entity].) The SAC also alleges sufficient facts supporting civil conspiracy to fraudulent concealment. (<i>Doctors' Co. v. Superior Court</i> (1989) 49 Cal. 3d 39, 44 [elements]; SAC ¶ 132.) The demurrer is therefore OVERRULED as to these causes of action. <u>Equitable claims</u> (8th and 11th causes of action): The SAC alleges sufficient facts to state a cause of action for unjust enrichment, accounting, constructive trust and injunctive relief. (<i>Peterson v. Celco Partnership</i> (2008) 164 Cal.App.4th 1583, 1593 [elements of unjust enrichment]; <i>Civ. Code</i> § 2224 [constructive trust]; SAC ¶¶ 123-130 [unjust enrichment]; ¶¶ 146-147 [constructive trust].) The demurrer is therefore OVERRULED as to these causes of action. <i>Counsel for Plaintiff shall give notice of this ruling.</i>
10.	American Express National Bank v. Pinon 25-1475752	Plaintiff American Express National Bank's ("Plaintiff") unopposed Motion for Summary Judgment ("Motion") is GRANTED. Plaintiff's sole cause of action against defendant Marcus Pinon ("Defendant") is one for breach of contract. "To state a cause of action for breach of contract, a party must plead the existence of a contract, his or her performance of the contract or excuse for nonperformance, the defendant's breach and resulting damage. [Citation.] If the action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (<i>Harris v. Rudin, Richman & Appel</i> (1999) 74 Cal. App. 4th 299, 307.) Plaintiff has met its initial burden on the Motion by showing there was a contract between Plaintiff and Defendant which Defendant agreed to repay Plaintiff for any money or charges incurred on the Account. (Pla. Sep. Statement Nos. 1-2, 4, 6, 9-11.) Plaintiff lent the money to Defendant, but Defendant failed to make the required payments. Defendant has been harmed in the sum of \$37,424.33 outstanding on the Account, and an additional \$515 in court fees. The burden transfers to Defendant to show triable issues of material fact remain

		that would require denial of the motion. (<i>Civ. Proc. Code</i> § 437c(c) and § 437c(p)(1). As Defendant failed to oppose the Motion, Defendant failed to meet the transferred burden under the code. The Motion is GRANTED. <i>Plaintiff to give notice.</i>
11.	Carlton v. Ford Motor Company 24-1445099	(Continued)
12.	Tykhonina v. In-N-Out Burgers, Inc. 25-1470899	The motion for summary judgment, or in the alternative, summary adjudication, filed by defendant In-N-Out Burgers (Defendant) directed to the complaint of plaintiff Daria Tykhonina (Plaintiff) is DENIED. On a motion for summary judgment, a defendant has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action cannot be established, or that there is a complete defense thereto. (<i>Code Civ. Proc.</i>, § 437c(p)(2).) A defendant does not satisfy its burden of proof by producing evidence that does not exclude the possibility that plaintiffs may possess or may reasonably obtain evidence sufficient to establish their claim. (<i>Weber v. John Crane, Inc.</i> (2006) 143 Cal.App.4th 1433, 1441-1442.) "There is no obligation on the opposing party ... to establish anything by affidavit unless and until the moving party has by affidavit stated facts establishing <i>every element</i> ... necessary to sustain a judgment in his favor." (<i>Consumer Cause, Inc. v. SmileCare</i> (2001) 91 Cal.App.4th 454, 468 (emphasis in original; internal quotes omitted).) Defendant failed to address the full scope of duties and breaches alleged in the Complaint. (See <i>Nieto v. Blue Shield of Calif. Life & Health Ins. Co.</i> (2010) 181 Cal.App.4th 60, 74—"the pleadings determine the scope of relevant issues on a summary judgment motion".) Plaintiff alleges Defendant owed a duty to exercise reasonable care "with respect to the preparation, handling, and service of hot beverages so as to prevent them from spilling onto and injuring customers such as Plaintiff." (Compl., ¶ 7.) Plaintiff further alleges Defendant breached their duty of care by failing to properly secure the lid on the hot drink, "and otherwise negligently preparing, handling, and serving the drink[], so as to cause a hot drink to spill and cause catastrophic burns to Plaintiff, a customer." (Compl., ¶ 9.) Plaintiff also alleges the failure to properly secure the lid on the hot drink and the failure to appropriately hand the hot drink to Plaintiff created a foreseeable danger that the hot drink would spill upon handing it to a customer such as Plaintiff. (Compl., ¶ 10.) Defendant's motion focuses primarily on its alleged liability for failing to secure the lid on the hot drink. Defendant, however, failed to adequately

		and fully address its potential liability for “negligently preparing, handling, and serving the drink” to Plaintiff, including failing to appropriately hand the hot drink to Plaintiff. Defendant relies solely on its employee’s declaration and surveillance footage of the incident. The cursory employee declaration states only that its employee secured the lid on the coffee cup prior to handing it to Plaintiff and the cup was not hot. This evidence does not address the full scope of the alleged breaches as set forth above. Moreover, it is not clearly shown from the surveillance footage provided by Defendant that no act of Defendant caused or contributed to the spill. Defendant’s employee states that “[p]rior to the spill, Plaintiff had sole and full control of the coffee cup.” However, no facts are stated showing the employee observed Plaintiff’s grip on the cup or otherwise establishing how he knew Plaintiff had full control of the cup. Defendant’s evidence does not exclude the possibility that Plaintiff may possess or may reasonably obtain evidence sufficient to establish her claim. Defendant’s evidence is insufficient to establish, as a matter of law, that Defendant did not breach any duty or that Plaintiff’s conduct was the sole proximate cause of her injuries. As such, Defendant failed to meet its initial burden of demonstrating the nonexistence of a triable issue of material fact. Accordingly, the motion is DENIED. The Court declines to rule on the parties’ evidentiary objections as not material to the disposition of the motion. (<i>Code Civ. Proc.</i>, § 437c(q).) <i>Plaintiff shall give notice of this ruling.</i>
13.	Moreno v. City of Santa Ana 24-1372127	Before the Court are two motions for terminating, issue, evidentiary and/or monetary sanctions filed by plaintiff Manuel Moreno (Plaintiff) against defendant City of Santa (the City). For the reasons set forth below, both motions are DENIED. “[T]he trial court has wide discretion to order discovery and broad powers to enforce those orders.” (<i>Hartbrodt v. Burke</i> (1996) 42 Cal.App.4th 168, 175; <i>Vallbona v. Springer</i> (1996) 43 Cal.App.4th 1525, 1545.) This includes the “broad discretion to manage discovery [citation], including selecting an appropriate penalty for a party’s refusal to obey a discovery order” or other misuse of the discovery process, so long as the sanction is appropriate to the dereliction and does not exceed what is required to protect the interests of the party entitled to but denied discovery. (<i>Padron v. Watchtower Bible & Tract Society of New York, Inc.</i> (2017) 16 Cal.App.5th 1246, 1262; <i>Lopez v. Watchtower Bible & Tract Society of New York</i> (2016) 246 Cal.App.4th 566, 604 (Lopez).) Motion No. 1 (ROA 244)

Plaintiff moves for sanctions against the City for the City's violation of this Court's January 8, 2026, discovery order as it pertains to Form Interrogatory No. 216.1.

This motion initially came on for hearing on April 16, 2026. The Court continued the motion to May 28, 2026, for the City to provide a second further response to the subject Form Interrogatory, as the Court deemed the initial further response to be clearly deficient. (See ROA 275.) On May 18, 2026, Plaintiff filed a supplemental brief and supplemental declaration which includes the City's further verified response to the subject Form Interrogatory, as ordered by the Court. The City's response to Form Interrogatory No. 216.1 is now code compliant as the City either identifies facts, witnesses and documents for each of the affirmative defenses, or responds that none exist. (See Ex. A to ROA 295.)

In the supplemental brief, Plaintiff contends the responses are "woefully inadequate." However, the City answers the call of the question for its general denial and for each of its special or affirmative defenses asserted in its answer to the complaint, as ordered by the Court. As the City has now complied with the Court's January 8, 2026, discovery order, the sanctions sought by Plaintiff are not appropriate in this instance. (See *Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 992 ["The trial court cannot impose sanctions for misuse of the discovery process as a punishment."].)

Based on the foregoing, the motion is **DENIED**.

Motion No. 2: (ROA 257)

Plaintiff moves for sanctions against the City for the City's violation of this Court's January 8, 2026, discovery order as it pertains to Requests for Production of Documents (RFP) Nos. 1-148.

Plaintiff contends the City's further responses to the subject RFP violate the Court's January 8, 2026 Order because the responses (1) fail to identify by Bates numbers which specific documents are responsive to which requests as required by *Code of Civil Procedure section 2031.280(a)*; (2) contain objections which Plaintiff contends should be removed given the Court's January 8, 2026 order; and (3) are improperly qualified to state that the City will produce only "non-privileged" documents.

Plaintiff failed to demonstrate noncompliance with the Court's January 8, 2026, discovery order. The City supplemented its objection-only responses with further substantive responses and produced responsive documents as ordered. The further responses are code compliant. (See *Code Civ. Proc.*, § 2031.210(a).) Further, the City's opposition shows it complied with *Code of Civil Procedure section 2031.280*, subdivision

		(a). (See <i>Code Civ. Proc.</i>, § 2031.280(a); see also, Hernandez Decl. ¶¶ 4, 7, Exhs. 1, 3.) In addition, in its January 8, 2026, discovery order, the Court did not order the City to serve further responses without objections or order that any privilege objections were waived. The City’s inclusion of objections and a qualification for non-privileged documents thus does not violate the Court’s order. In any event, the City responded substantively notwithstanding the objections and indicated in its opposition that it will prepare and submit a privilege log. Plaintiff complains in the Reply that the Document Production Index does not indicate any documents were produced for a number of the RFP. However, the requests Plaintiff points to appear to be requests in which the City stated either it does not have responsive documents in its possession, custody, or control, or it would produce responsive documents, “if any.” (See, e.g., Response to RFP Nos. 15, 16, 18, 28, 29, 30, 31, 37, 38, 39, 41-53.) Thus, it is not clearly shown that documents have been improperly withheld. Based on the foregoing, the motion is DENIED. <i>Counsel for the City is ordered to give notice of these rulings.</i>
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